

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC., *Complainant*

v.

CMA CGM S.A., *Respondent*.

DOCKET NO. 25-25

Served: August 12, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT

On August 7, 2026, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY”), and Respondent, CMA CGM S.A. (“CMA”), filed a joint motion (“Motion”) seeking approval of a confidential settlement agreement and mutual release with a copy of the confidential agreement.

The parties state that they intend to submit a separate motion for dismissal with prejudice after the settlement proceeds are received. Motion at 4. For the reasons set forth below, the substantive terms of the settlement agreement are approved. The dismissal motion should be filed as soon as practicable given the deadline to resolve this proceeding by September 4, 2026. If the motion has not been filed by August 21, 2026, a joint status report should be filed.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in

contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The complaint alleges that CMA violated the Shipping Act “by engaging in unjust and unreasonable practices including assessing detention and demurrage penalties for periods of time during which BBY’s ability to pick up and return containers was constrained by circumstances outside BBY’s control.” Motion at 1. CMA denied the allegations and denied liability to BBY. *Id.* at 2. The parties state that they “engaged in settlement negotiations in 2025 and 2026, which resulted in the Agreement accompanying this motion.” *Id.* Specifically, the parties assert:

The Parties are both sophisticated corporate entities and reached the Agreement through robust negotiations, with the Agreement “reflect[ing] careful consideration of the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” The Agreement does not contravene any law or public policy, and it is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. The Agreement is a fair and reasonable resolution of the

dispute between the Parties and reflects their mutual desire to resolve their issues without the need for costly litigation.

Motion at 2-3 (citation omitted).

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the substantive terms of the settlement agreement do not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions over an extended period of time. The proceeding would require potentially expensive briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). The Commission recently stated, after the motion here was filed, that it “requires more formality and clarity, including a motion explaining the need for confidential treatment” and “good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), Order Affirming Small Claims Officer’s Order Approving Settlement, and Reversing Confidential Treatment, at 2 (FMC Dec. 4, 2024).

Here, the parties request confidentiality for the settlement agreement, stating: “The Agreement is the result of confidential negotiations between the Parties, and the Parties therefore jointly and respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the Commission.” Motion at 3.

The Commission routinely affords confidential treatment to settlement agreements, recognizing that they often contain sensitive commercial information, and thus should be protected from public disclosure. *See D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 1 F.M.C.2d 135, 136-7 (FMC May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted).

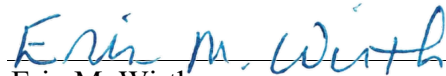
The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties’ request for confidentiality, confidential information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the joint motion to approve the settlement agreement between Complainant 20230930-DK-Butterfly-1, Inc. and Respondent CMA CGM S.A. be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the parties shall file a motion for dismissal with prejudice pursuant to the approved settlement agreement after Complainant receives the agreed upon settlement amount. If this motion has not been filed by August 21, 2026, the parties shall file a joint status report.



Erin M. Wirth

Chief Administrative Law Judge